25901654 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR/IMPROVEMENT/REAPPEARANCE EXAMINATION APRIL 2026

SECOND SEMESTER

Multi-Disciplinary Courses (MDC) - MG2MDCECO100 - UNDERSTANDING INDIAN ECONOMY

(2024 ADMISSION ONWARDS)

Duration: 1 Hour 30 Minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries **1** marks

1. Which is the rank of India in 2022 Human Development Index (HDI) [K] / [CO1]

   a). 134 b). 133

   c). 132 d). 135

2. Which decade is most associated with stagflation in economic history? [K] / [CO3]

   a). 1950s b). 1960s

   c). 1970s d). 1980s

3. Which of the following is an example of digital payment [U] / [CO1]

   a). UPI b). Mobile wallets

   c). Bank prepaid cards d). All the abpve

4. The major GST rates in India besides the zero-tax rate are: [K] / [CO5, CO6]

a). 5%, 10%, 20% and 28%
b). 5%, 10%, 20% and 30%
c). 5%, 12%, 18% and 28%
d). 5%, 15%, 20% and 28%

5. What is the primary purpose of foreign exchange reserves? [K] / [CO4]

a). Control inflation
b). Fund government projects
c). Stabilize currency value
d). Increase exports

6. Which of the following is a key feature of NSDL? [K] / [CO4]

a). Allows investors to trade on stock exchange
b). Provide loans to investors
c). Hold securities in demat form
d). Dealing with commodity trading

7. Which of the following is a part of GNP [K] / [CO1]

a). Exports
b). Imports
c). Money earned by resident abroad
d). All of the above

8. The distribution of the burden of paying a tax is called [K] / [CO5, CO6]

a). Sharing of tax burden
b). Shifting of the tax
c). Incidence of a tax
d). Impact of tax

9. Which of the following is NOT a feature of UPI [U] / [CO1]

a). Instant fund transfer
b). National Payments Corporation of India
c). National Payments Corporation of International
d). National Product Company of India

10. What is the theme of COP28? [K] / [CO1]

a). New York, USA
b). Accelerating climate action for sustainable development
c). Sustainable Development for All
d). Achieving Global Peace

11. Primary Deficit is defined as: [K] / [CO5]

a). Fiscal Deficit minus interest payments

b). Fiscal Deficit plus capital receipts

c). Revenue Deficit minus interest payments

d). Revenue Deficit plus borrowings

12. What is the maximum lending limit for a single borrower by banks in India as per RBI regulations? [K] / [CO4]

a). 10% of capital funds

b). 15% of capital funds

c). 20% of capital funds

d). 25% of capital funds

13. Evolution of central banking is which century phenomenon [U] / [CO2]

a). 20th

b). 19th

c). 20th

d). 21st

14. What happens to exports when the currency depreciates? [K] / [CO4]

a). Exports become more competitive

b). Exports become costlier

c). Exports decrease automatically

d). Exports remain unchanged

15. What does UNFCCC stand for? [K] / [CO1]

a). United Nations Framework Control on Climate Change

b). United Nations Framework Convention on Climate Change

c). United Nations Framework Communication on Climate Change

d). United Nations Framework Climate Communications Council

[1x15 = 15]

Part B

Short Answer Questions

Answer any **10** questions

Each question carries **2** marks

16. What are the key components of India's capital account in the balance of payments? [K] / [CO4]

17. What is India's net zero commitment? [K] / [CO1]

18. What is revenue expenditure? Give an example [K] / [CO5]

19. Name any two methods does the RBI use to supervise commercial banks [K] / [CO4]

20. State any two prospects of Kerala economy. [U] / [CO5, CO6]

21. Mention any three features of India’s demographic profile [K] / [CO1]

22. What is the significance of Finance Commission recommendations in budget planning? [U] / [CO5]

23. What are commercial bills? [K] / [CO4]

24. Point out any two challenges faced by Kerala Economy. [A] / [CO5, CO6]

25. Discuss briefly the Cheap money policy [U] / [CO2]

26. Define fiscal policy. [K] / [CO5, CO6]

27. What is role of payment banks?. [K] / [CO4]

28. State any two objectives of tax policy in India. [U] / [CO5, CO6]

29. Name two of India's key exports and key imports commodities. [K] / [CO4]

[2x10 = 20]

Part C

Short Essay Questions

Answer any **3** questions

Each question carries **5** marks

30. Explain the fiscal situation in Kerala ? [U] / [CO5, CO6]

31. What are the quantitative credit control measures used by RBI? [U] / [CO4]

32. Explain the methods of National income Measurement. [K] / [CO1]

33. Describe the structure of the Balance of Payments. [K] / [CO4]

34. Explain the measures to control inflation. [K] / [CO1]

35. Write a note on BSE and NSE. [K] / [CO4]

36. Explain Happiness Index [K] / [CO1]

[5x3 = 15]